

December 2024

Startup Proposal



FortifAI

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Name:

Company Name: FortifAI

Pitch Deck: [Link](#)

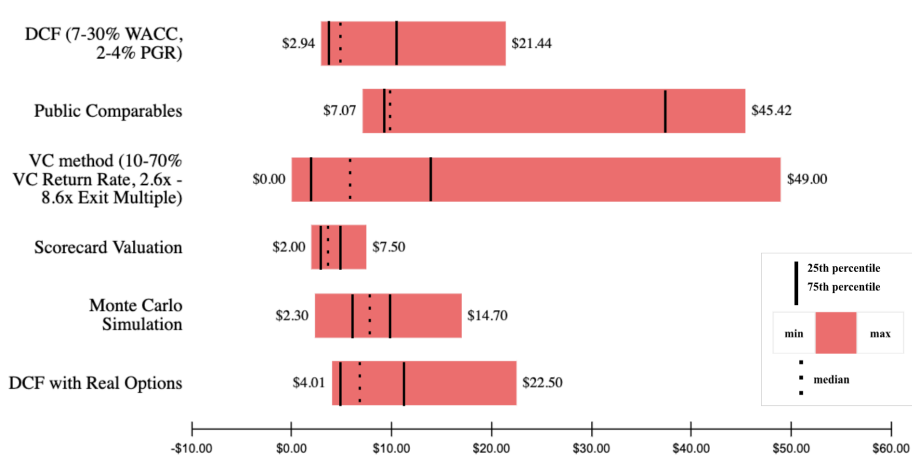
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Executive Summary

FortifAI is an AI-powered cybersecurity training platform tailored for small and medium-sized businesses (SMBs). With over 43% of cyberattacks targeting SMBs and 60% of those businesses shutting down within six months, cybersecurity training is no longer a luxury. It's a necessity. Notably, 95% of breaches stem from human error, emphasizing the critical need for comprehensive employee training. FortifAI provides adaptive, role-specific training solutions that address the human side of cybersecurity, ensuring SMBs can defend against evolving threats effectively.

In 2024, the global cybersecurity training market is valued at \$5.23 billion, and it is projected to grow to \$13.70 billion by 2030, with a CAGR of 17.4%. Specifically, the U.S. cybersecurity training market presents a significant opportunity, with a Serviceable Obtainable Market (SOM) of \$386.5 million. FortifAI is positioned to capture this market by offering unparalleled AI-driven personalization, making us early movers in this space.



Using multiple valuation methods, the range of FortifAI's share price is \$4-\$12. Positioning slightly below the midpoint of this range (\$7), we arrive at a pre-money valuation of \$7.5M, reflecting both the significant market opportunity and FortifAI's growth potential.

Funding Ask

We are seeking \$3.8 million in funding:

- Equity: \$1.9M for a 20% equity stake at a pre-money valuation of \$6.5M.
- Convertible Debt: \$1.4M with a 6% interest rate, 3-year maturity, and 10% conversion discount.
- Debt: \$500K at an 8% interest rate over five years.

This funding will enable us to launch and scale FortifAI, optimize our AI capabilities, and acquire over 500 SMB customers by 2026 end.

We ensure investors receive a fair and substantial equity stake that reflects their invaluable role in driving FortifAI's growth and success post-fundraising.

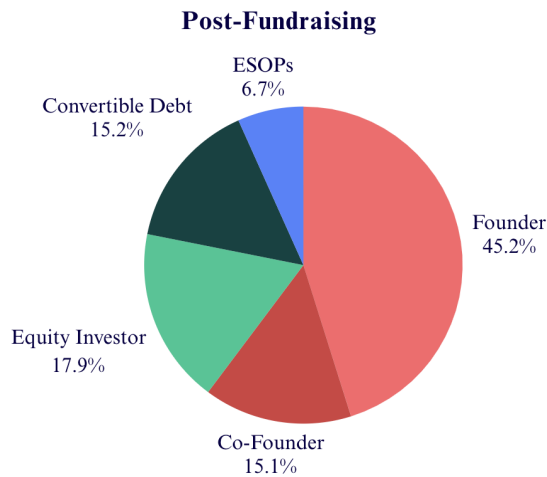


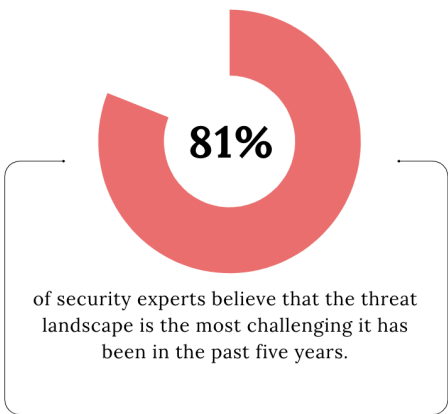
Table of Contents

Executive Summary	2
Current Threat Landscape	4
Human Error: The Weakest Link in Cybersecurity	5
FortifAI: Redefining Cybersecurity Training	6
Why SMBs Are the Perfect Focus for Cybersecurity Training	8
Market Overview: Cybersecurity Awareness Training Market	9
Revenue and Cost Model	11
Key Resources	14
Go-To-Market Strategy	15
Competitive Landscape	16
Valuation Process	20
Valuation Summary	27
Fundraising Process	28
ESOPs	29
Legal Structure for FortifAI	30
Type of Investor	31
Term Sheet	32
Spreadsheet	35
References	35
Appendix	39

Current Threat Landscape

The cyber threat landscape has become more dangerous than ever. Every day, new attacks make headlines, showing just how creative and determined cybercriminals have become. Earlier this year, a phishing email led to the largest data breach in French history, exposing personal information of 33 million people (Duboust, 2024). This is not just a one-off incident. It shows how hackers are using advanced tools like AI and social engineering to get past even the strongest defenses.

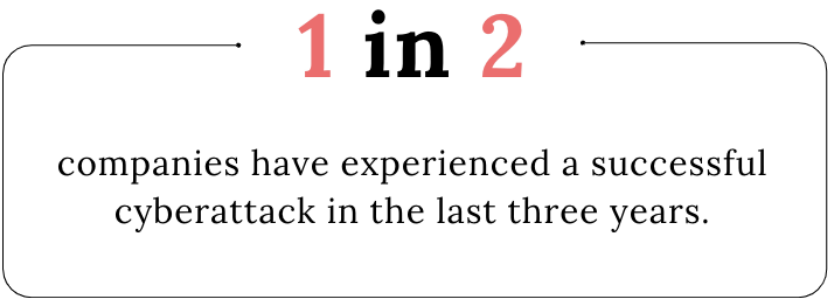
It is not just technology that is falling short. A global shortage of skilled IT professionals and increasing political tensions are making things worse. In fact, 81% of security experts say the threat landscape is the hardest it's been in the last five years. Cybercrime does not just affect businesses either - it spreads misinformation, influences public opinion, and even threatens democracy.



The constantly evolving nature of cybercrime makes it increasingly difficult for organizations to defend themselves effectively. According to survey conducted by Sosafe (Human Risk 2024 Review), over half (52%) of respondents reported being the target of a successful cyberattack within the past three years. The Allianz Risk Barometer confirms this by identifying cyber incidents as the top business risk globally today (Allianz SE, 2024). The findings in the survey also show that 59% of security professionals believe their organizations face a high risk of cyberattacks with potentially severe consequences.



The outlook remains very concerning unless proactive steps are taken.



Human Error: The Weakest Link in Cybersecurity

“The last line of defense, even in a cyberattack, is the person behind the keyboard,” said Kathy Hughes, CISO at Northwell Health (Cybersecurity Ventures, 2023). While organizations invest heavily in technology to protect their assets, the gap in employee security awareness remains a significant vulnerability.

Organizations are bracing for AI attacks	Leaders need cyber-aware employees	Training is key to raising security awareness	Training needs to be engaging and intentional
• 62% of leaders expect employees to fall victim to attacks in which cybercriminals use AI. • 95% are using, implementing, or researching AI solutions to prevent cyberattacks. • 80% report that attitudes towards security awareness training have improved due to the use of AI by bad actors. • Despite concerns about AI risks, 31% of organizations do not manage or monitor how employees use AI applications.	• 67% worry their employees lack general security awareness, up from 56% in 2023. • Core drivers for adopting a security awareness and training program: • Past security breach or threat of a security breach (52%) • Corporate sponsorship (21%) • Compliance and regulatory requirements (13%) • 94% are interested in implementing stricter cybersecurity policies for high-risk users.	• 97% of decision-makers say more training and awareness would help reduce cyberattacks, up slightly from 93% in 2023. • 89% report improvements to their organization's security posture after implementing security awareness and training. • The most important security awareness and training topics are: • Data security (48%) • Data privacy (41%) which is consistent with 2023 findings.	• On average, 81% of organizations felt that three hours of training a year was needed to raise cyber awareness. • 75% of security awareness campaigns are planned in advance, and delivered on a monthly (34%) or quarterly (47%) basis. • 86% of leaders are satisfied with their current security awareness and training solutions. Of those who reported being dissatisfied, 41% said their programs lacked engaging content.

Figure 1: Fortinet 2024 Security Awareness and Training Global Research Report. The findings in this report are based on responses obtained from online interviews with 1,850 executive-level and management-level professionals at organizations that have security awareness and training in place. The interviews were conducted by Sapio Research in May and June 2024. Responses were obtained from individuals in 29 countries.

Despite increased awareness of cyber risks, key gaps persist. Leaders are grappling with the growing sophistication of AI-enabled cyberattacks and the alarming statistic that 67% of executives worry about their employees’ lack of security awareness – a rise from 56% in 2023. Furthermore, while 94% of organizations express interest in implementing stricter cybersecurity policies, many struggle to design and deliver effective training solutions.

The gap is not just about awareness; it’s about engagement and effectiveness. While 86% of leaders are satisfied with their security training programs, 41% of those dissatisfied cited the lack of engaging content as a major drawback. This highlights a broader issue: traditional training models fail to inspire employees to internalize and act on cybersecurity principles.

AI is transforming the cybersecurity landscape, introducing both significant opportunities and new threats. Gartner predicts that by 2025, AI-enabled fraud will fundamentally reshape attack surfaces, yet many organizations are unprepared to manage the risks associated with AI misuse.

This gap creates an urgent need for dynamic, engaging, and adaptive training solutions to prepare employees for evolving threats.

FortifAI: Redefining Cybersecurity Training

FortifAI bridges the gap in cybersecurity training by focusing on two critical aspects: personalized, role-specific learning and real-time threat adaptability. Unlike traditional static modules, FortifAI dynamically tailors training to employee roles while continuously updating content to match emerging threats, ensuring organizations stay protected and prepared.

Personalized, Adaptive, and Immersive Training

Cybersecurity threats don't affect all employees equally (Amir, 2024). A backend engineer working on databases faces vastly different risks than a sales representative handling client communications. FortifAI's AI-driven adaptive learning technology addresses this by crafting training paths that are specific to each role. These paths are not pre-packaged modules or one-size-fits-all courses—they evolve dynamically based on the employee's performance. For instance, someone proficient in identifying basic phishing emails moves directly to advanced scenarios, like spotting AI-generated deepfake scams or sophisticated social engineering attacks. The goal is to keep learning relevant, avoiding unnecessary repetition, and ensuring employees are always progressing.

Unlike traditional training that relies heavily on passive slides or generic modules, FortifAI immerses employees in real-world challenges through interactive simulations. These aren't theoretical exercises; they mimic the actual threats employees are likely to face. For example, an employee might participate in a gamified ransomware attack simulation, where they must act quickly to prevent the spread of malware. Another scenario might involve responding to a fraudulent request from an impersonated executive. These experiences are designed to keep employees engaged and actively practicing critical skills, creating a hands-on environment that bridges the gap between knowledge and application.

Sales Representative Receives training on avoiding business email compromise (BEC) attacks. For example, they learn to verify payment links and requests during client interactions to avoid falling for fraudulent invoicing scams.	Backend Engineer Focus on backend vulnerabilities, such as recognizing suspicious database queries or unauthorized access attempts. Training modules guide them in identifying subtle anomalies in server logs and fortifying access controls.
Accountant Trained to identify fraudulent payment requests, phishing emails targeting financial credentials, and suspicious account activities. For instance, modules guide them on verifying account details before approving transactions.	Multifunctional Roles Employees wearing multiple hats (in very small SMBS) - handling HR, operations, and IT tasks - undergo combined training that covers high-priority areas across their responsibilities. For example, they practice spotting phishing emails while also learning basic endpoint security measures.

Figure 2: FortifAI goes beyond generic training by providing targeted, role-specific learning paths for different job functions.

To further ensure long-term effectiveness, FortifAI integrates continuous reinforcement into the learning process. This means employees are not just left to learn and forget; they are regularly exposed to simulated phishing campaigns, real-time email challenges, and dynamic decision-making exercises that evolve as new cyber threats emerge. Instead of focusing solely on completing training, FortifAI embeds cybersecurity awareness into daily workflows, creating a proactive and resilient culture. By prioritizing practical, role-specific, and continuously engaging methods, FortifAI ensures employees remain equipped to handle the constantly shifting landscape of cyber risks.

Real-Time Threat Updates: AI Advantage for Scalable Security

FortifAI ensures employees stay ahead of emerging cybersecurity threats by integrating real-time threat intelligence directly into training. Unlike traditional, static programs, FortifAI uses AI to continuously analyze global cyberattack trends, updating its training modules dynamically. Employees are trained on the latest risks, such as AI-enabled phishing scams or ransomware tactics, through immersive simulations that replicate real-world conditions.

This adaptability is crucial for SMBs, which often lack the resources for dedicated security teams or frequent training updates. For instance, when a new ransomware strain emerges, FortifAI quickly incorporates the threat into its training modules and designs scenarios where employees must identify and neutralize it in real-time. The platform's continuous evolution ensures employees are always prepared to face the latest threats, transforming training from a static process into an ongoing, proactive defense mechanism.

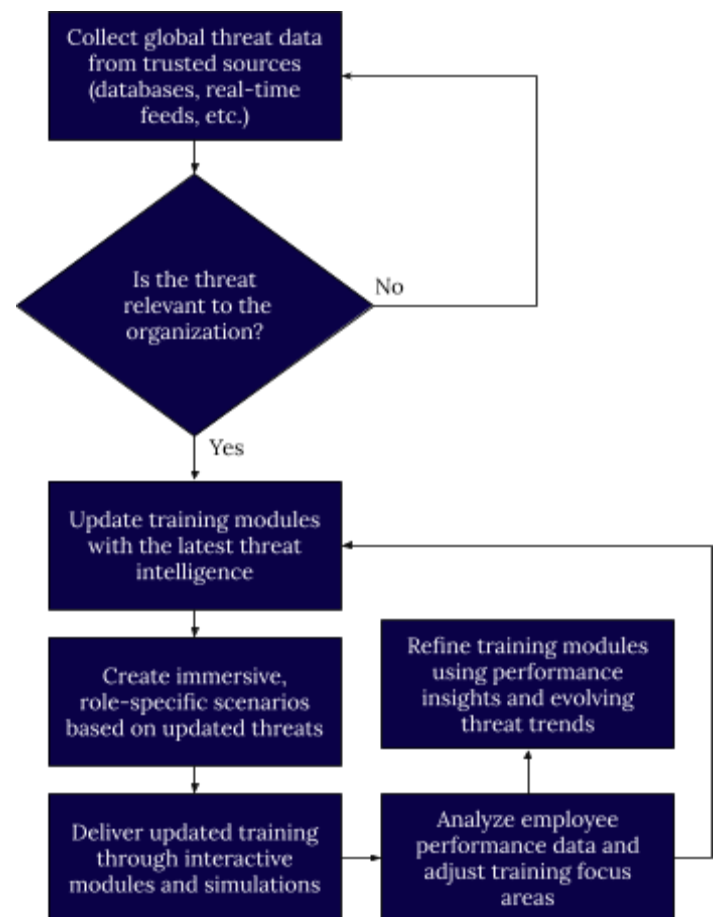


Figure 3: FortifAI's adaptive training workflow, integrating real-time threat intelligence and continuous feedback to deliver personalized cybersecurity education.

Why SMBs Are the Perfect Focus for Cybersecurity Training

Small and medium-sized businesses (SMBs) are often seen as the backbone of the global economy, but they are also increasingly becoming the backbone of cybercriminals' operations. Despite making up a significant portion of the economy, 43% of all cyberattacks specifically target SMBs. Why? Because hackers know these businesses are often “too smart to worry,” operating under the false assumption that they’re too small to be a target. Yet, last year, 73% of SMBs faced cyberattacks, and this year, the figure has surged to 94%, painting a clear picture: cybercriminals are becoming bolder, and no business is too small to escape their radar (Zoghbi, 2024).

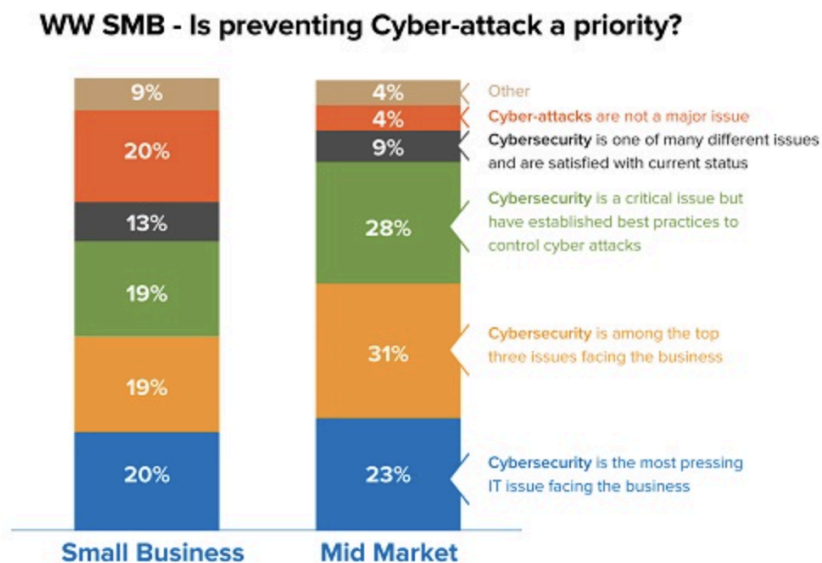


Figure 4: SMBs and midmarket firms rank cybersecurity as a critical concern (Agrawal, 2019).

The consequences are staggering. 60% of SMBs shut down within six months of a cyberattack, unable to recover from the financial and operational blow (Yaqub, 2024). For those that survive, the average cost of a breach is \$3.31 million—enough to sink many small companies (Zoghbi, 2024). Beyond the immediate costs are indirect damages: lost trust, reputational harm, and operational downtime. Unlike large enterprises with dedicated IT teams and security budgets, SMBs often allocate just 5% to 20% of their IT budgets to security. Many

lack the expertise or recovery plans, with 43% admitting they have none. Compounding the issue, 95% of cybersecurity breaches stem from human error—like an employee clicking on one of the 1 in 323 malicious emails SMBs receive daily, triggering a costly chain reaction (Yaqub, 2024).

So, why focus on SMBs? Because they are an underserved market in dire need of scalable, accessible solutions. The alternative – building costly enterprise-grade security infrastructure or hiring full-scale IT teams – is out of reach for most. Cybersecurity training, on the other hand, offers a practical, cost-effective way for SMBs to protect themselves by addressing their most significant vulnerability: their people. By equipping employees to recognize and respond to cyber threats, SMBs can create a proactive line of defense, reducing their risk and safeguarding their future. It is not just about avoiding disaster. It is about empowering SMBs to thrive in a digital-first world, without the constant fear of becoming the next statistic.

Market Overview: Cybersecurity Awareness Training Market

The average cost of a data breach continues to rise, reaching \$9.36 million in the U.S. in 2024. The global average cost per data breach was 4.88 million U.S. dollars in 2024 (Statista, 2024). Cybersecurity training not only mitigates these risks but also reduces financial losses by preventing breaches in the first place.

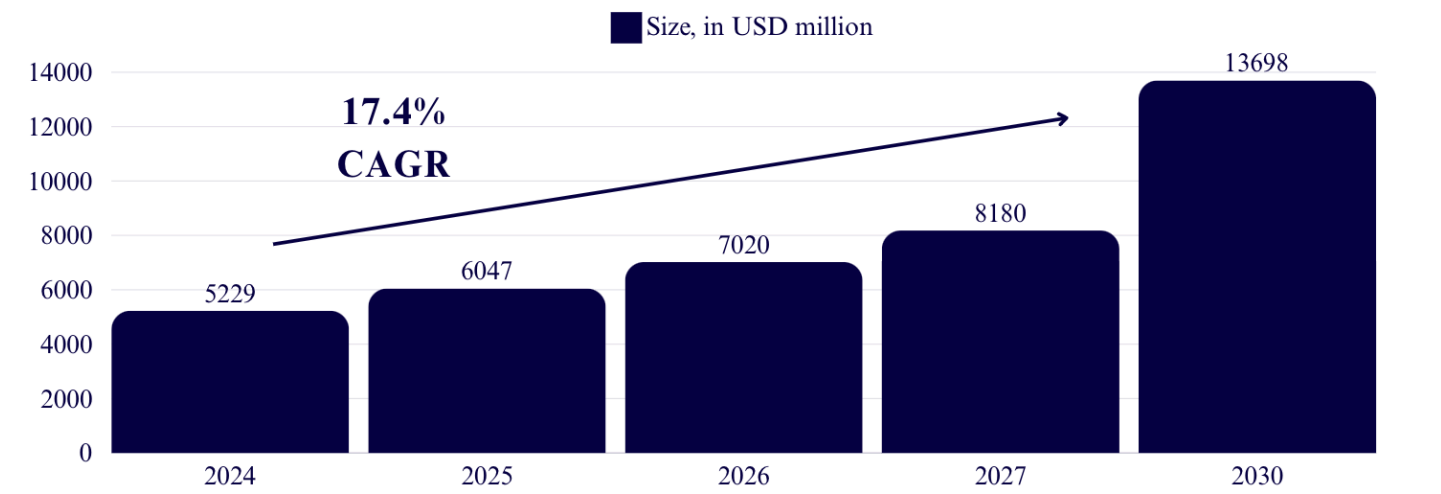


Figure 5: Growth of cybersecurity awareness training market (Grand View Research, n.d.)

Regional Insights

North America dominates the global cybersecurity awareness training market, contributing 35.3% of total revenue in 2023. The U.S. remains the largest market, driven by high adoption rates of cloud technologies and strong regulatory enforcement. Europe is catching up, with the UK leading the region's growth at a 14.2% CAGR. Compliance mandates like GDPR and investments in emerging technologies are fueling this expansion.

The Asia-Pacific region is the fastest-growing, with a projected CAGR of 19.7% from 2024 to 2030. Countries such as India, China, and Japan are heavily investing in workforce upskilling to counter rising cyber threats. India's government-led digital initiatives and Japan's focus on digital transformation in healthcare and finance are creating substantial opportunities for training providers.



Figure 6: North America has the largest market share (Grand View Research, n.d.)

Training Type Insights

Online training leads the market, accounting for 47% of revenue in 2023. This segment is projected to grow the fastest due to its flexibility, cost-efficiency, and ability to deliver scalable solutions. Self-paced modules combined with real-time simulations are particularly attractive to organizations seeking effective and adaptable training methods.

Boot camps, while smaller in market share, are gaining popularity for their intensive, hands-on approach. These programs appeal to IT professionals, cybersecurity managers, and those pursuing certifications like ethical hacking and risk management. Classroom training remains a steady contributor but grows at a slower pace compared to other formats.

Industry Insights

The demand for cybersecurity training is closely tied to industry-specific challenges.

The healthcare sector faces the highest average cost of breaches at \$10.93 million, making investments in specialized training programs critical. The IT and telecom industry, representing 24% of the market, grapples with threats tied to interconnected systems, driving the need for advanced cybersecurity skills. The financial services sector prioritizes compliance-driven training due to stringent regulations, sustaining demand for foundational and technical training programs.

Company Insights

Key players in the cybersecurity training market are driving innovation through specialized programs and certifications. Google LLC leads with initiatives like the Google Cybersecurity Certificate and Google Cloud Training, equipping individuals and organizations to combat evolving threats. NINJO stands out with its behavioral-based training solutions, such as NINJO Sense and NINJO Alert, offering personalized, engaging content to enhance cybersecurity awareness.

Emerging companies like Inspired eLearning and Webroot University are also making strides. Inspired eLearning focuses on security awareness and compliance training, empowering employees to defend against threats, while Webroot University delivers comprehensive,

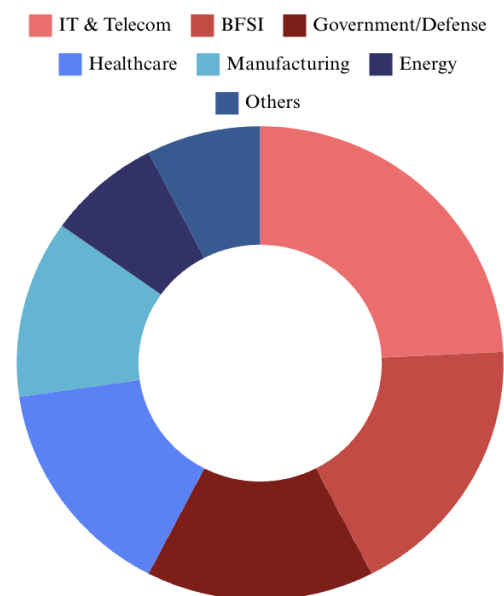


Figure 7: Global Cybersecurity Awareness Training Market, Share by Industry in 2023 (Grand View Research, n.d.)

accessible courses tailored for diverse organizations. Together, these companies are addressing the growing demand for skilled cybersecurity professionals and effective training solutions.

Revenue and Cost Model

Revenue Streams

FortifAI’s revenue strategy is built on a clear, scalable model tailored to SMBs, balancing affordability with long-term profitability. At its core, the business operates on a tiered subscription-based pricing model, supplemented with premium add-ons to cater to SMBs of varying sizes and cybersecurity maturity. This approach ensures accessibility while delivering advanced value for organizations willing to scale.

Tiers	Price	Features
Core (<50)	\$2/employee/month	Role-specific training, phishing simulations, AI-driven incident simulations
Pro (<200)	\$4/employee/month	Includes Core features + priority support
Max (>200)	\$6/employee/month	Includes Pro features + enhanced customization

Premium Add-Ons	Price	Features
Advanced Reporting	\$1.5/employee/month	Detailed performance and compliance insights
Behavioral Analytics Dashboard	\$2/employee/month	AI-driven insights into risky employee patterns

Figure 8: Revenue Model. This multi-tiered structure ensures FortifAI can accommodate small firms just entering the cybersecurity space while scaling up for more mature SMBs investing in advanced solutions.

Projections

Revenue projections for FortifAI are built using a bottom-up approach, rooted in realistic and data-driven assumptions. Top-down approach is also done to cross-check the projections.

Customer Acquisition

Starting with 3,000 monthly website visitors – a mid-range benchmark for small B2B companies (Ashwini, 2024) – and a 3% visitor-to-lead conversion rate, FortifAI generates approximately 90

leads per month. Of these, 30% convert into Core Tier customers, 20% into Pro Tier, and 15% into Max Tier. Additionally, indirect acquisition through referrals and cold outreach contributes to the total customer base, reaching 98 customers across all tiers in Year 1. These assumptions reflect conservative estimations compared to competitors like KnowBe4, who achieved over 200 enterprise customers in their first year (KnowBe4, n.d.).

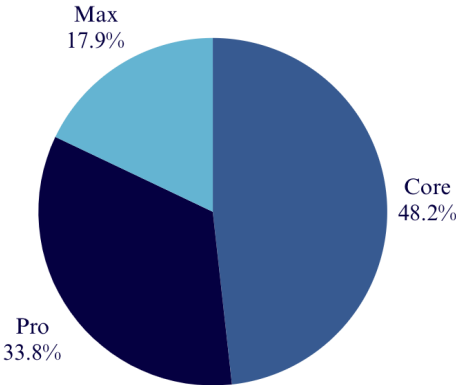


Figure 9: Expected Customer distribution across subscription tiers in Year 1.

Growth Trajectory

FortifAI projects \$1.8M in revenue in Year 1, driven by its subscription-based pricing across Core, Pro, and Max tiers, alongside premium add-on revenue streams. Most of the revenue will come from pre-sold and secured contracts by mid-2025. See Revenue Projections and DCF sheet for more details.

To compare FortifAI’s growth trajectory, I analyzed revenue changes of publicly listed competitors - KnowBe4, Tenable, Rapid7, Mimecast, and Proofpoint - over the most recent three years available in their financial statements (**while not all are security awareness training companies, they were the closest public benchmarks; most direct competitors are private, and KnowBe4 recently went private, so I used their public data**). Here, Year 1 represents the most recent year (e.g., 2023 for Tenable, Rapid7, etc.), and Year 3 represents the earliest reported year. While these companies are now mature, public enterprises, their continued high revenue growth is striking: KnowBe4 demonstrated 104.3% growth, Tenable achieved 84.6%, and Mimecast followed at 62.9%.

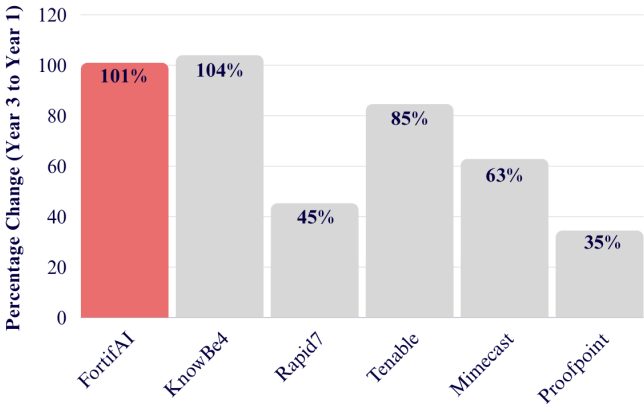


Figure 10: Revenue growth comparison between FortifAI and public comparables over three years.

Given FortifAI’s early-stage status and its position in an underserved SMB market, achieving 100.9% revenue growth (projected from Year 3 to Year 1) is not only ambitious but also realistic. The comparison further emphasizes the scalability of proven B2B sales models in the overarching cybersecurity industry and reflects FortifAI’s potential to capture meaningful market share as adoption accelerates.

For further details, refer to the Comparables Sheet, which outlines the year-by-year revenue progression of these Public Comparables.

Cost Structure

FortifAI’s cost structure aligns with its early-stage growth strategy. I analyzed the income statements of five public comparables - KnowBe4, Rapid7, Tenable, Mimecast, and Proofpoint - to understand expenditure patterns across key cost categories as a percentage of revenue. These benchmarks, summarized in the Comparables sheet, provide a realistic baseline for FortifAI's cost projections.

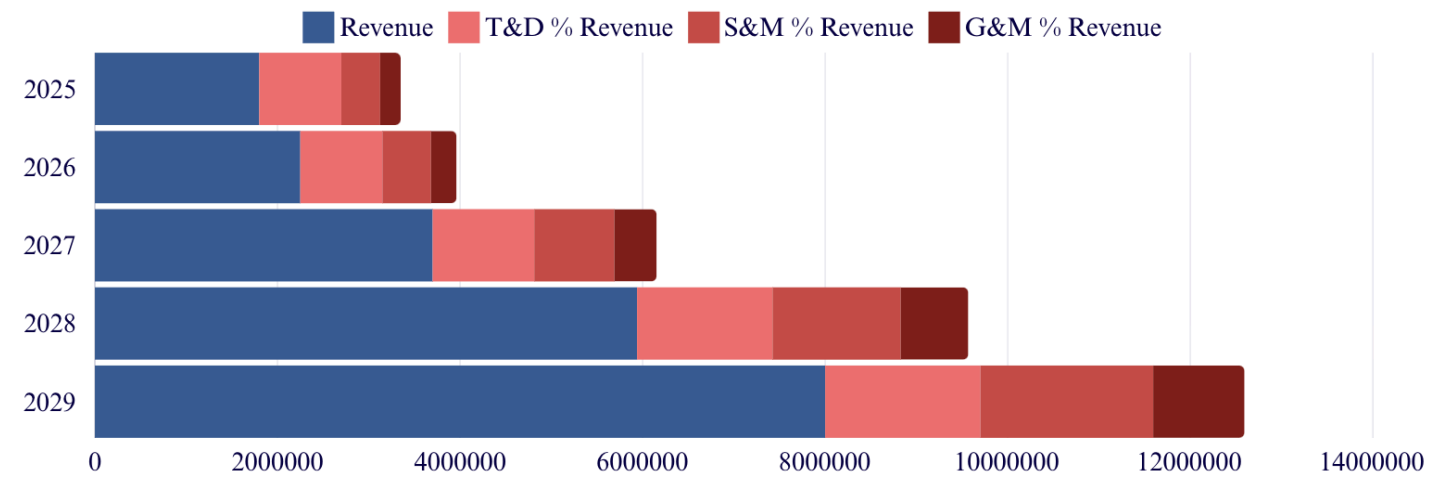


Figure 11: Projected revenue growth and cost distribution (T&D, S&M, G&M as percentages of revenue) over five years.

Technology & Development (T&D)

As a SaaS startup, FortifAI’s initial focus is on building a robust, AI-powered adaptive learning platform. While public comparables report an average T&D cost of 20.8% of revenue, their figures reflect mature companies with established products and optimized development processes. In contrast, FortifAI requires significant upfront investment in:

- Machine Learning Infrastructure to support proprietary AI models and advanced algorithms.
- Cybersecurity Module Development tailored to adaptive learning frameworks.
- Platform Integration for real-time threat intelligence and enterprise-level scalability.

Therefore, T&D costs are 50% of revenue in Year 1, decreasing to 40% in Year 2 as the core product stabilizes and scales. By Year 5, T&D costs taper to align with industry averages at 20.8%, reflecting optimized development efforts and operational maturity.

T&D Expense %	
Year 1	50.00%
Year 2	40.00%
Year 3	30.00%
Year 4	25.00%
Year 5	20.83%

Sales & Marketing (S&M)

Effective customer acquisition and brand positioning are critical for driving adoption in the underserved SMB market. Comparables spend an average 23.6% of revenue on S&M, reflecting

mature strategies for retaining clients and optimizing acquisition costs. FortifAI, as an early-stage company, will allocate a larger share of revenue toward:

- Collaborating with SMB associations and cybersecurity consultancies to drive early adoption.
- Leveraging SEO, paid ads, and content marketing to convert website traffic into qualified leads.
- Ensuring high retention through onboarding and ongoing support, critical for subscription-based models.

While initial S&M expenses remain high, they scale efficiently over time as acquisition costs decrease and word-of-mouth referrals drive organic growth.

General & Administrative (G&A)

G&A expenses, including operational infrastructure, regulatory compliance, and talent acquisition, are projected to remain aligned with the industry average of 12.5% of revenue. Early-stage spending focuses on building a capable team, ensuring smooth operations, and maintaining compliance with evolving cybersecurity standards.

Key Resources

To build and scale FortifAI, the most critical resource will be a technical co-founder with expertise in AI, machine learning, and/or software engineering - someone capable of driving the development of our adaptive learning platform and proprietary algorithms. Ideally, this co-founder would bring experience from the cybersecurity industry, ensuring the product addresses real-world threats and aligns with SMB needs. Beyond the co-founder, I will need a small team of AI/ML engineers to refine the platform, build dynamic phishing simulations, and integrate role-specific training modules (*Expenses for this team will come out of T&D*). Cybersecurity specialists will be essential as subject matter experts to ensure our content remains accurate and up-to-date with evolving cyber risks and regulations. A sales and marketing team will also play a significant role, particularly in the early years, driving customer acquisition through direct outreach, partnerships, and content-driven lead generation (*Expenses for this team will come out of S&M*). On the operational side, resources like cloud infrastructure for hosting the platform securely, as well as tools for analytics and customer relationship management (CRM), will be fundamental to delivering a seamless experience to clients. Lastly, a small but efficient customer success team will ensure SMBs effectively onboard onto the platform and see immediate value, fostering strong retention and referrals (*Rest of the Expenses will come out of G&A. See the DCF Model sheet for all these expenses*). These combined resources will allow FortifAI to develop, market, and scale a product that delivers tangible results for SMBs.

Go-To-Market Strategy

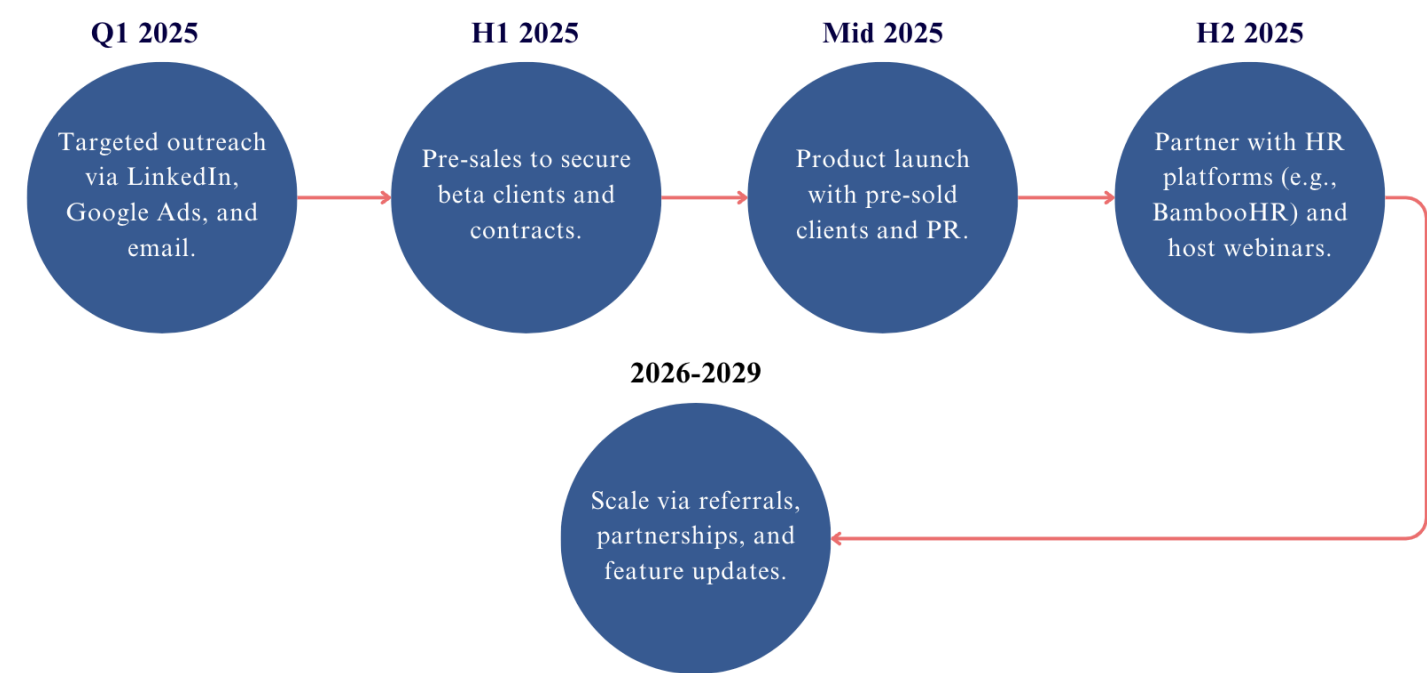


Figure 12: Go-to-Market Timeline outlining phased activities from Q1 2025 to H2 2025.

The strategy kicks off in Q1 2025 with targeted outreach campaigns focusing on SMBs in industries like retail, healthcare, and professional services - sectors with high employee turnover and limited cybersecurity measures. Platforms like LinkedIn Ads and Google Ads will allow precise targeting of HR managers and IT decision-makers based on company size, role, and behavior. Complementing this, personalized email campaigns will highlight FortifAI’s value, emphasizing AI-powered adaptive training and role-specific compliance content. Outreach efforts will center on measurable pain points, such as the cost of breaches from human error, which resonates strongly with SMBs.

In H1 2025, FortifAI will initiate a pre-sales campaign to secure beta clients and signed contracts before launch. Key strategies include offering SMBs access to a beta trial program showcasing core features like adaptive AI-driven role-based modules and behavioral analytics. Direct outreach via webinars and product demos will illustrate FortifAI’s ability to enhance workforce cybersecurity resilience with minimal friction. Contracts will secure early commitments and revenue streams while generating valuable beta feedback to refine the platform ahead of launch.

By Mid 2025, the platform will officially launch to pre-sold clients, marking a major milestone. Early adopters’ success stories and measurable outcomes (e.g., reduced phishing susceptibility by X%) will drive credibility through testimonial campaigns across LinkedIn and

industry-specific platforms. The launch will also be amplified through PR initiatives, featuring press releases, cybersecurity conferences, and launch webinars tailored for SMB leaders.

In H2 2025, the focus shifts to scaling adoption through partnerships. Integration with HR platforms like BambooHR or similar systems will ensure FortifAI becomes part of existing SMB workflows, simplifying deployment and increasing visibility (Robb, 2023). Partnering with cybersecurity consultancies and industry associations will help co-market FortifAI as a leading solution for SMBs seeking regulatory compliance and workforce training.

From 2026 to 2029, FortifAI will implement referral programs that incentivize existing customers with discounts or premium add-ons for successful referrals. Expansion will target new industries and markets, leveraging a growing network of partners, data-driven feature updates, and customer success metrics. Additionally, the platform will continuously evolve based on user feedback, rolling out advanced features like role-based behavioral analytics dashboards and AI model enhancements to maintain a competitive edge.

Competitive Landscape

Understanding the Players

The cybersecurity training market is made up of three broad categories of players. First, there are specialized security awareness training companies like KnowBe4, SANS Institute, and Hoxhunt, whose primary focus is developing training tools tailored to improving employee security readiness. These companies often stand out for their expertise in this niche, offering solutions such as phishing simulations, interactive training modules, and role-specific courses. Their products are specifically designed to prevent human error, which remains one of the largest cybersecurity vulnerabilities.

Second, there are general cybersecurity companies like CrowdStrike or Mimecast, which provide security awareness training as an additional offering (e.g. CrowdStrike University). These companies focus on broader cybersecurity solutions, such as endpoint protection, email security, or network monitoring, but include training modules to complement their core products. While their training may not be as comprehensive as the specialized providers, they often appeal to enterprises looking for bundled solutions to simplify vendor management.

Finally, there are e-learning platforms like Coursera and LinkedIn Learning, which host general security courses. These platforms offer a library of standardized, pre-recorded training content for employees to access on demand. While they provide flexibility and accessibility, they lack real-time adaptability and the specialized features—such as phishing simulations and role-specific content—that businesses require for practical security preparedness.

Security Awareness Training Companies

The biggest share is held by the security awareness training companies. G2 Grid Report for Security Awareness (2024) talks about this segment comprehensively. According to the report, this category includes companies that have tools that specialize in delivering educational security courses, training assessments, and attack simulations designed for businesses. The report evaluates the companies based on user reviews, market share, seller size, and overall social impact.

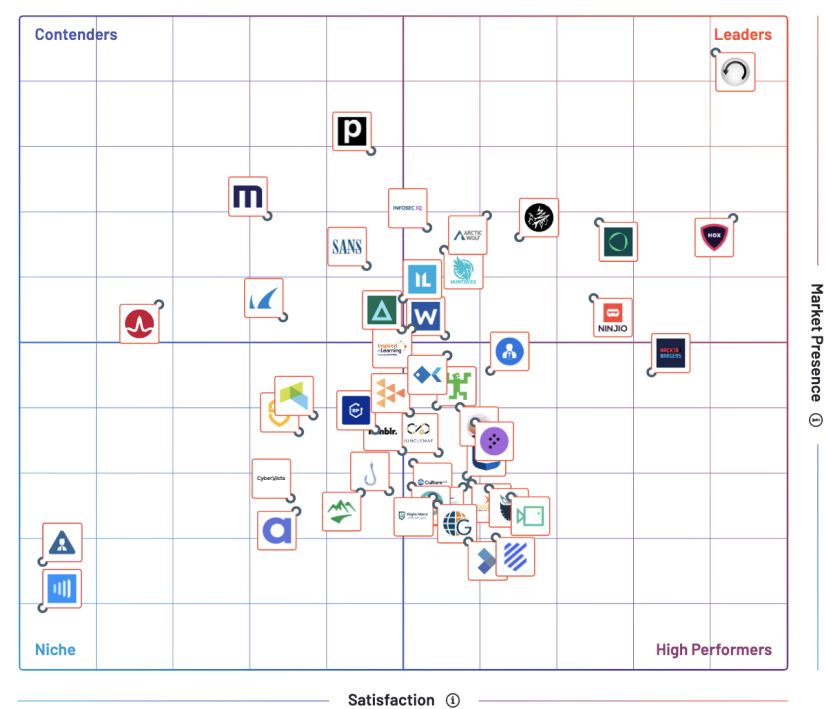


Figure 13: G2 Grid Report for Security Awareness Training showing rankings based on customer satisfaction and market presence.

lack the same level of market adoption. This group includes providers like Hacker Rangers and PhishingBox, which are gaining traction through innovative features and strong user experiences. On the other hand, Contenders like Proofpoint Security Awareness Training and SANS Security Awareness have a significant market presence but comparatively lower customer satisfaction scores. Finally, the Niche quadrant comprises smaller players, such as Hook Security and ThreatAdvice, which have lower scores in both categories.

As Figure 13 shows, the Leader quadrant includes companies with high user satisfaction and substantial market presence. Companies like KnowBe4, Hoxhunt, and SoSafe dominate this space, with strong customer ratings and widespread adoption. KnowBe4, for instance, leads with a G2 score of 96, reflecting its deep market presence and high satisfaction levels.

The High Performers segment includes emerging solutions that score well on customer satisfaction but currently

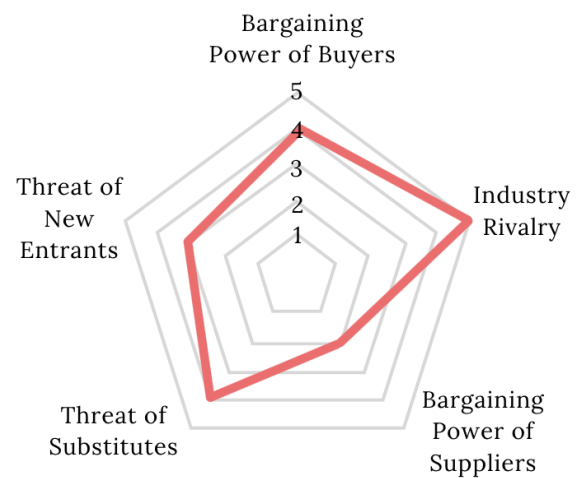


Figure 14: Porter's Five Forces Analysis of Security Awareness Training Segment. See Appendix for analysis.

Leaders	# of Reviews	Satisfaction	Market Presence	G2 Score
KnowBe4 Security Awareness Training	1893	93	99	96
Hoxhunt	2422	96	71	83
SoSafe	499	77	70	74
NINJIO Security Awareness	357	77	57	67
MetaCompliance Security Awareness Training	925	66	68	67
Arctic Wolf	29	62	72	67
Infosec IQ	607	53	69	61
Huntress Security Awareness Training	140	56	65	61
Webroot Security Awareness Training	47	56	51	53
Inspired eLearning Powered by VIPRE	55	51	52	52
Fortra's Terranova Security	36	50	52	51

Figure 15: Grid® Scores of Top-rated Security Awareness Training providers with key metrics like satisfaction and market presence.

The table highlights leading players, with KnowBe4 leading the category. It has a G2 score of 96, driven by its broad market adoption and customer satisfaction rating of 93%. Hoxhunt follows closely with a satisfaction score of 96 but a lower presence at 71, indicating its growing user base but smaller market share compared to KnowBe4. Other notable players like SoSafe and NINJIO also demonstrate significant traction, emphasizing the competitive nature of this market.

While market leaders dominate with established customer trust and broad market adoption, there remains considerable room for improvement and innovation.

Lowest-Rated Features

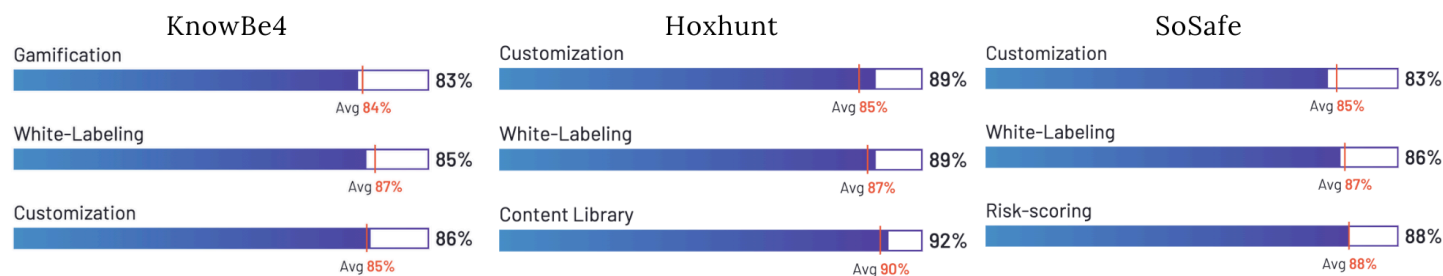


Figure 16: Lowest-rated features of the top three leaders - KnowBe4, Hoxhunt, and SoSafe - highlighting gaps in customization, white-labeling, and gamification.

These shortcomings suggest a critical gap in delivering flexible, personalized training experiences, which users increasingly demand (41% of cybersecurity leaders said their program lacked engaging content - Figure 5). FortifAI addresses this gap by offering personalized, immersive, and adaptive learning paths tailored to individual roles, that are always up to date with real-time threat updates. Plus, FortifAI is designed specifically for underserved SMBs, so it brings a scalable, engaging solution where market leaders are falling short.

Here is how FortifAI stands as compared to its competitors:

Company	AI-powered Adaptive Learning	Role-Specific Content	Real-Time Threat Updates	Simulations
FortiFyAI	✓ (Personalized learning)	✓ (Tailored to job roles)	✓ (Updates with new threats)	✓ (Adaptive difficulty)
KnowBe4	Limited	Limited	✗	✓
HoxHunt	Limited	✗	✗	✓
SANS Institute	✗	✗	✓ (Basic threat updates)	✓ (Basic phishing)
Sosafe	✗	Limited (customization available)	Limited	✓

Figure 17: FortifAI vs Competitors in terms of key offerings.

Valuation Process

Several valuation techniques were applied to assess a reasonable pre-money valuation of FortifAI.

Discounted Cash Flow (DCF)

The DCF method is a fundamental approach to valuation as it focuses on the intrinsic value of a business. It provides a clear, forward-looking perspective, making it particularly useful for startups with strong growth potential.

I forecasted revenue for 2025 to 2029 using a growth trajectory based on market potential (Top-down) and SMB adoption rates (Bottom-up). Details on this have already been covered in earlier sections. For key cost components such as COGS, Sales & Marketing, Technology & Development, and G&A expenses, I expressed them as a percentage of revenue. These percentages were derived using public comparables (KnowBe4, Rapid7, Tenable, Mimecast, and Proofpoint). I analyzed three years of financial data (latest 10-K reports) for these companies, calculating their costs as a percentage of revenue for each year. The averages of these percentages were then applied to FortifAI's projections (*See Comparables Sheet for this*). Technology & Development expenses were manually adjusted to be significantly higher in the initial years, reflecting the heavy R&D investment needed to scale the product.

For the discount rate, I assumed FortifAI's capital structure based on the Total Funding Need of \$3.8M, broken into \$500K in debt and \$3.3M in equity. Startups often define their capital structure through fundraising rounds, and this approach aligns the funding need with operational goals and growth milestones. This approach of assuming capital structure is better than assuming WACC directly as it would create a circular dependency, as WACC depends on the capital structure, which in turn depends on enterprise value derived from WACC. By assuming the capital structure first, we break this circularity, allowing us to calculate WACC and use it consistently in the DCF. A 9.19% WACC was initially derived using comparable company data and FortifAI's risk profile. However, this rate was deemed too low given the high-risk nature of an early-stage startup.

To reflect this risk accurately, I conducted a sensitivity analysis on the WACC (ranging from 7% to 30%) and the perpetual growth rate (ranging from 2% to 4%) and then arrived at a 20% WACC as a realistic choice. This accounts for the uncertainty and risk inherent to FortifAI's growth trajectory while enabling robust scenario planning for stakeholders.

Discount Rate		Perpetual Growth Rate (PGR)					DCF		
		2.00%	2.50%	3.00%	3.50%	4.00%	7-30% WACC,	EV	Price Per Share
7.00%		13,426,234	14,842,895	16,613,720	18,890,496	21,926,197	Average	7,894,724	7.39
9.19%		9,720,912	10,396,610	11,181,418	12,104,086	13,204,436	Minimum	3,442,466	2.94
15.00%		5,946,756	6,157,574	6,385,961	6,634,208	6,905,022	25th Percentil	4,081,152	3.58
20.00%		4,648,235	4,761,719	4,881,879	5,009,321	5,144,728	Median	5,545,742	5.05
25.00%		3,914,289	3,986,244	4,061,470	4,140,196	4,222,669	75th Percentil	10,985,216	10.49
30.00%		3,442,466	3,492,760	3,544,917	3,599,042	3,655,249	Maximum	21,926,197	21.43

Figure 18: WACC and PGR sensitivity table in relation to the Enterprise Value of FortifAI. The table on the right summarizes FortifAI's valuation range across metrics like median, minimum, maximum, and percentiles. Price Per Share is calculating using $(EV - Debt) / \text{Total Shares}$.

A more thorough sensitivity analysis was performed to see how price per share fluctuates as certain variables changes, like cost of debt, cost of equity, T&D expense, revenue growth, etc. See DCF sheet for all the tables.

Comparable Company Analysis (CCA)

Even though DCF captures intrinsic value, it relies heavily on assumptions that can be uncertain for early-stage companies. Comparable Company Analysis offers a market-based perspective by benchmarking FortifAI against publicly traded peers.

To determine a relative valuation for FortifAI, I conducted a CCA, selecting publicly traded cybersecurity firms that reflect similarities in business model, market focus, or operational characteristics. While these companies are not all direct competitors - particularly in the security training segment - they share key attributes that justify their inclusion as comparables.



Company	Key Attributes
KnowBe4	A leader in the security awareness training space, KnowBe4 directly aligns with FortifAI's market, making it the closest comparable. Its business model, revenue structure, and focus on employee-focused cybersecurity solutions provide a strong benchmark.
Rapid7	Although Rapid7 primarily focuses on vulnerability management and cloud security, it shares operational parallels with FortifAI, including SaaS-based solutions and a focus on SMBs.
Tenable	Tenable specializes in exposure and risk management but operates within the cybersecurity software landscape, catering to businesses that overlap with FortifAI's target market.
Mimecast	While Mimecast is best known for email security, it includes awareness training components as part of its broader cybersecurity offering, making it a relevant comparable.
Proofpoint	Proofpoint provides advanced email protection and security training, similar to FortifAI's immersive simulations, making it a valuable benchmark for understanding enterprise-level players.

Figure 19: Public Comparables of FortifAI.

Various valuation multiples - EV/Revenue, EV/EBITDA, EV/EBIT, and P/E - were considered. However, due to the high volatility and prevalence of negative EBITDA, EBIT, and earnings across the comparables (see Comparables sheet), these multiples do not provide meaningful insights or consistent benchmarks. Instead, I focused on the EV/Revenue multiple, as it remains stable and reflective of growth-stage companies like FortifAI, where revenue growth is the primary driver of value. Again, a range of EV and price per share was calculated.

Comparables	
EV	Price Per Share
22,301,277	21.8
7,567,772	7.1
9,689,637	9.2
10,073,600	9.6
38,277,267	37.8
45,898,110	45.4

Venture Capital (VC) Method

The VC Method complements DCF and comparables by incorporating investor expectations for high-risk, long-term investments. It focuses on exit value, target return rates, and dilution, which are critical factors in the startup fundraising process.

I assumed stable revenue growth based on the average of FortifAI's 5-year revenue projections. The exit year was set to 2031, reflecting a realistic growth horizon for achieving scale and market traction. For the exit multiple, I used the median EV/Revenue multiple of the comparable companies derived earlier, which came out to 5.6x. A 50% VC target return rate was selected, aligning with industry standards for high-risk investments (Scherlis & Sahlman, 1989). I factored in an approximate 25% dilution in future funding rounds, adjusting the ownership required at exit to 45%, ensuring the valuation accounts for equity dilution over time.

Exit Multiple		VC Target Return Rate						
		10%	20%	30%	40%	50%	60%	70%
	2.60	14.2	7.5	4.1	2.0	1.0	0.3	0.0
	3.60	19.3	10.5	5.8	2.8	1.1	0.5	0.1
	4.60	24.5	14.5	8.5	4.7	2.2	0.9	0.7
	5.60	30.6	18.5	11.1	6.5	3.5	1.5	0.9
	6.60	36.8	22.4	13.8	8.3	4.8	2.4	1.2
	7.60	42.9	26.4	16.5	10.2	6.1	3.4	1.5
	8.60	49.0	30.4	19.1	12.0	7.4	4.3	2.2

Figure 20: To account for varying market conditions and investor expectations, I conducted a sensitivity analysis that explores how the price per share changes with fluctuations in VC return rates (ranging from 10% to 70%) and exit multiples (2.6x to 8.6x).

VC Method		
10-70% VC Retn	EV	Price Per Share
Average	11,089,796	11
Minimum	500,000	0
25th Percentile	2,500,000	2
Median	6,600,000	6
75th Percentile	15,000,000	15
Maximum	49,500,000	49

The Scorecard Valuation

The Scorecard Valuation Method was applied to assess FortifAI's pre-money valuation by evaluating qualitative and quantitative factors typically used by angel investors and early-stage venture capitalists. This approach is particularly relevant for startups, as it considers not only financial metrics but also qualitative attributes of the business.

The methodology assigned weightings to seven key factors, including the strength of the management team (30%), size of the opportunity (25%), product and technology (15%), competitive environment (10%), marketing/sales strategy (10%), need for funding (5%), and other factors (5%). FortifAI scored particularly well on the size of the market opportunity (20%) due to the fractured nature of the cybersecurity training market and its potential for growth. However, the lack of a fully established management team and minimal current sales channels slightly lowered its overall score.

Each factor was further broken down into sub-factors, and specific scores were allocated to FortifAI. For example, within the "Strength of the Management Team," factors such as founder coachability and willingness to bring on

Final Scorecard Weights Summary	
Category	Weight Allocated (%)
Strength of the Management Team (Max 3)	28%
Size of the Opportunity (Max 20%)	20%
Product/Technology (Max 15%)	15%
Competitive Environment (Max 10%)	10%
Marketing/Sales (Max 10%)	2%
Need for Additional Investment (Max 5%)	2%
Other (Max 5%)	3%
Total	80%

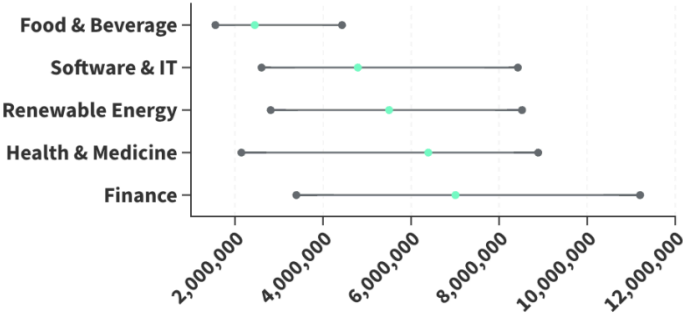


Figure 21: Pre-seed valuation by Industry (Equidam's Startup Valuation Delta Report (Q2 2024)). I used the Software and IT sector's median pre-money valuation of \$4,791,290 as a benchmark for FortifAI.

experienced leaders boosted FortifAI’s score. Similarly, the product's potential to solve a "pain point" and its difficulty to duplicate contributed to a strong score in the product/technology category. See detailed tables on the Scorecard Valuation sheet.

Total Weight of Comparison Factors		% Change in current Industry Pre-Money Median Valuation						
		-30%	-20%	-10%	0%	10%	20%	30%
	60%	2.0	2.3	2.6	2.9	3.2	3.4	3.7
	70%	2.3	2.7	3.0	3.4	3.7	4.0	4.4
	80%	2.7	3.1	3.4	3.8	4.2	4.6	5.0
	90%	3.0	3.4	3.9	4.3	4.7	5.2	5.6
	100%	3.4	3.8	4.3	4.8	5.3	5.7	6.2
	110%	3.7	4.2	4.7	5.3	5.8	6.3	6.9
	120%	4.0	4.6	5.2	5.7	6.3	6.9	7.5

Figure 22: Sensitivity analysis around industry pre-seed median valuation data and changing comparison weights, provided a range of valuations from \$2 (minimum) to \$7.5 per share (maximum). These ranges align with expectations for an early-stage startup in the Software and IT sector.

Scorecard Valuation		
-30 to +30% Chg	EV	Price Per Share
Average	4,808,163	4.3
Minimum	2,500,000	2.0
25th Percentile	3,900,000	3.4
Median	4,700,000	4.2
75th Percentile	5,700,000	5.2
Maximum	8,000,000	7.5

Monte Carlo simulations

The Monte Carlo Simulation was applied to enhance the robustness of the valuation by simulating uncertainties around key variables such as terminal year sales growth, NOPAT margin, and WACC. Using 1,000 iterations, the simulation generated a distribution of possible price per share outcomes, reflecting the inherent variability in these inputs. The assumptions for each variable were based on realistic ranges: sales growth was set at 35% with a 0.5% standard deviation, NOPAT margin at 25% with a 1% standard deviation, and WACC at 20% with a 0.5% standard deviation.

The simulation produced a range of price per share values, with an average of \$8.03 and a median of \$8.10, as shown in the summary table. The histogram visually depicts the frequency of price per share outcomes, emphasizing the concentration around the \$8-\$9 range, which reflects the most likely scenario for FortifAI’s valuation under the given assumptions.

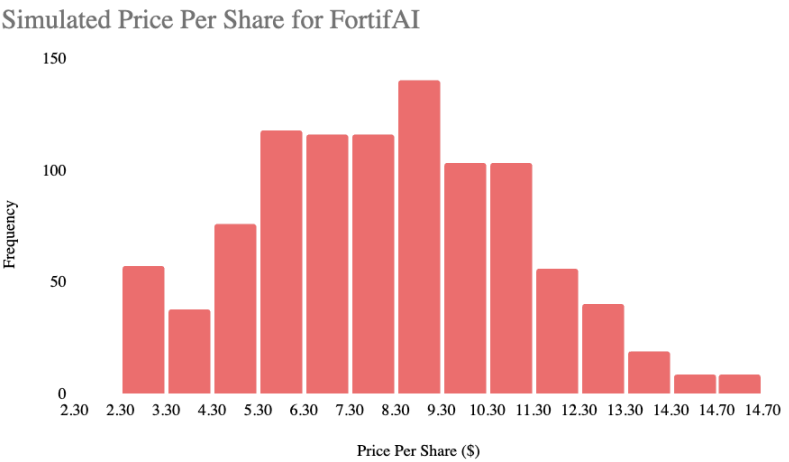


Figure 23: Histogram showing the simulated price per share for FortifAI based on 1,000 Monte Carlo iterations.

This analysis highlights the variability and potential outcomes of FortifAI's valuation, offering a probabilistic perspective that complements deterministic models like DCF. By incorporating these ranges and probabilities, the Monte Carlo Simulation provides valuable insights for stakeholders, ensuring informed decision-making in the context of startup risks and opportunities.

Monte Carlo Simulation		
	EV	Price Per Sha
Average	8,531,170	8.03
Minimum	2,800,000	2.30
25th Percentile	6,500,000	6.00
Median	8,600,000	8.10
75th Percentile	10,600,000	10.10
Maximum	15,200,000	14.70

Real Options

I leveraged real options to reflect key decision points: the ability to abandon development if early milestones are not met or to expand aggressively in response to high demand during market entry. This framework enhances the valuation (traditional DCF) by embedding flexibility, enabling more accurate reflection of investor and managerial decision-making.

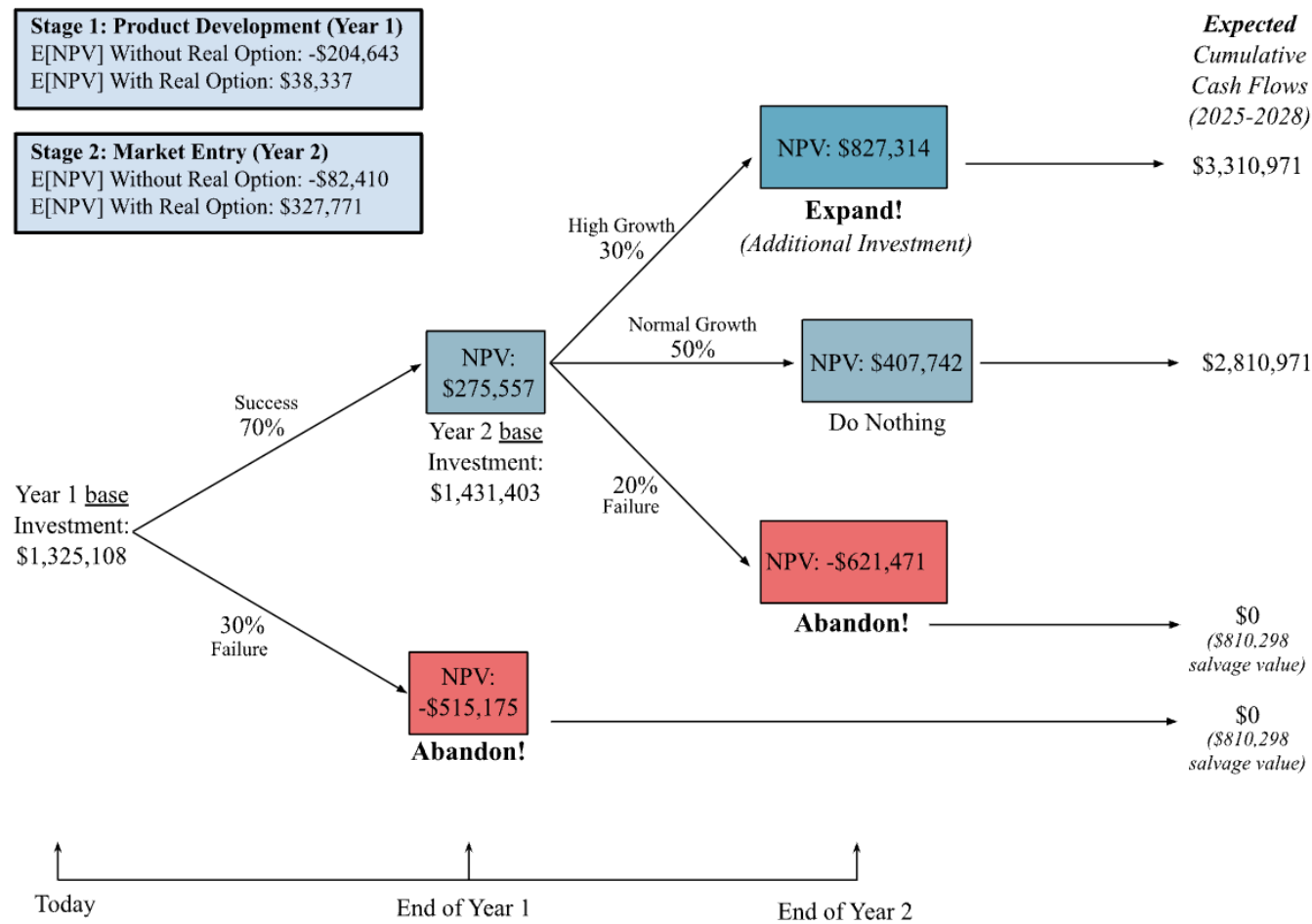


Figure 24: Decision tree showing FortifAI's real options for product development (Year 1) and market entry (Year 2), highlighting E[NPV] outcomes with and without options.

In Stage 1 (Product Development), an initial investment focuses on building FortifAI's AI-powered platform. Here, the key real option is to abandon the project if product development fails, recovering \$809,933 from pre-sold contracts and prototypes. Without this option, the Expected Net Present Value ($E[NPV]$) is -\$204,643, reflecting the risk of failure. However, incorporating the abandonment option turns this into a positive $E[NPV]$ of \$38,337, demonstrating how safeguarding downside risk creates value for investors.

Stage 2 (Market Entry) presents further flexibility, offering three paths: (1) expand operations to capture high demand, requiring an additional \$500,000 investment but leading to the highest cash flows (\$3,310,971); (2) maintain baseline operations ("do nothing") with moderate growth; or (3) abandon market entry if growth projections falter, salvaging \$809,933 from licensing deals. With these options, the $E[NPV]$ increases from -\$82,410 without options to \$327,771 with both abandonment and expansion options, showing the value of strategic adaptability.

The Total Project Value (TPV) is calculated as the sum of Net Present Value (NPV), Adjusted Option Value (AOV), and Abandonment Value (ABV), which comes out to be **\$5,448,832** (compared to the DCF NPV of \$4,881,879). This increase shows the tangible value that real options add to the business proposal.

I chose a simplified real options approach over a replicating portfolio model because my startup operates in a complex and uncertain environment. Developing an AI-powered cybersecurity platform involves challenges like refining machine learning algorithms and predicting customer behavior. Replicating portfolio models are better suited for financial derivatives with clear underlying securities and market prices, but they fail to capture qualitative factors such as market adoption and management strategy. This simplified approach effectively highlights how real options add strategic flexibility and value to my business while being easier for investors to understand.

Valuation Summary

Each model comes with its own set of challenges. DCF is highly sensitive to assumptions for cash flows and discount rates, making it less reliable for startups with uncertain projections. Public Comparables may not perfectly match FortifAI’s niche, with multiples often misrepresenting value due to differences in growth stages. The VC Method relies heavily on exit assumptions and target return rates, which can swing valuations too high or low. Scorecard Valuation introduces subjectivity through qualitative assessments, while Monte Carlo Simulation requires precise probability distributions, which can be difficult for an early-stage business. Real Options, though insightful for flexibility, is complex to model and interpret. These nuances demonstrate why no single valuation method suffices for a startup like FortifAI, highlighting the importance of synthesizing insights from multiple approaches.

The football field graph (Figure 23) consolidates all valuation methods and provides a comprehensive range of FortifAI's potential share price outcomes. The median price per share across different valuation models lies between \$4 and \$12. To remain conservative, a price of \$7 per share is selected, slightly below the midpoint of this range. This valuation translates to a pre-money enterprise value of approximately **\$7.5 million**.

Notably, the maximum values from the Comparable Companies and VC Method skew unrealistically high, nearing \$50 per share, which overstates the valuation given the early-stage nature of the business. The median values (indicated by the dotted lines) provide a more balanced view, aligning with a realistic projection of FortifAI's current market potential and strategic positioning. This ensures a practical yet optimistic valuation approach.

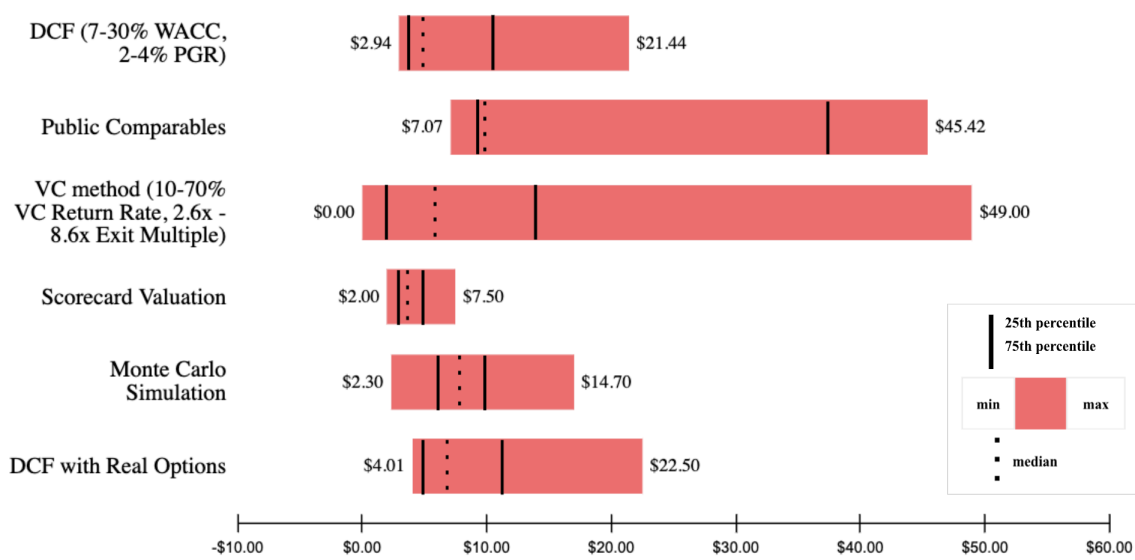


Figure 25: The summary of valuations models.

Fundraising Process

Funding Need

The total funding required for FortifAI amounts to \$3,801,867, allocated across two years to cover Technology & Development, Sales & Marketing, General & Administrative expenses, and a contingency buffer. The funding plan ensures adequate resources to achieve growth milestones and operational goals.

Funding Structure

The fundraising strategy for FortifAI incorporates a balanced structure of debt, convertible debt, and equity funding to meet the total funding requirement of \$3,801,867. Each component is tailored to ensure operational flexibility and minimize dilution while addressing capital needs.

- A traditional venture debt of \$500,000 is included in the funding structure, carrying an 8% annual interest rate. This non-dilutive source of capital provides a stable funding base, ensuring that a portion of the funding does not dilute ownership. The debt interest will be capitalized until FCF turns positive.
- Convertible notes amounting to \$1,426,867 are included to offer flexibility between debt and equity. These notes carry a 6% interest rate with a 10% conversion discount, maturing in 3 years. This structure allows early investors to convert their debt into equity at a discounted valuation during a subsequent funding round, aligning their interests with the company's growth while deferring immediate equity dilution (Leitner, 2009).
- Equity funding is based on a pre-money valuation of \$7,500,000, raising \$1,875,000 in exchange for 20% equity. This results in a post-money valuation of \$9,375,000. Equity funding ensures that sufficient capital is raised to meet operational milestones while securing long-term strategic investors.

By diversifying funding sources, this structure balances the need for immediate cash flow with the strategic objective of maintaining control and minimizing dilution.

The funds will be used to achieve 24 months of runway to scale the platform, acquire 500+ SMB customers, and optimize AI-powered training. See *Fundraising sheet* for more details.

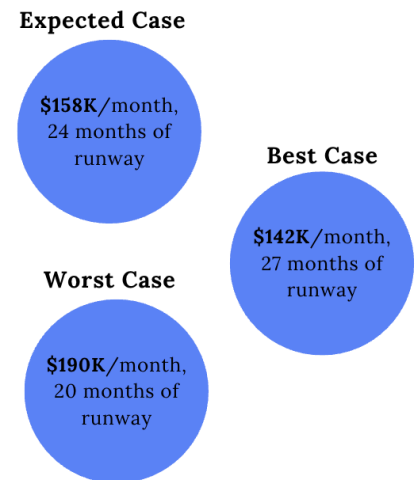


Figure 26: Three runway scenarios are considered to account for variability in spending and revenue generation. We'll consider the expected case in the funding structure.

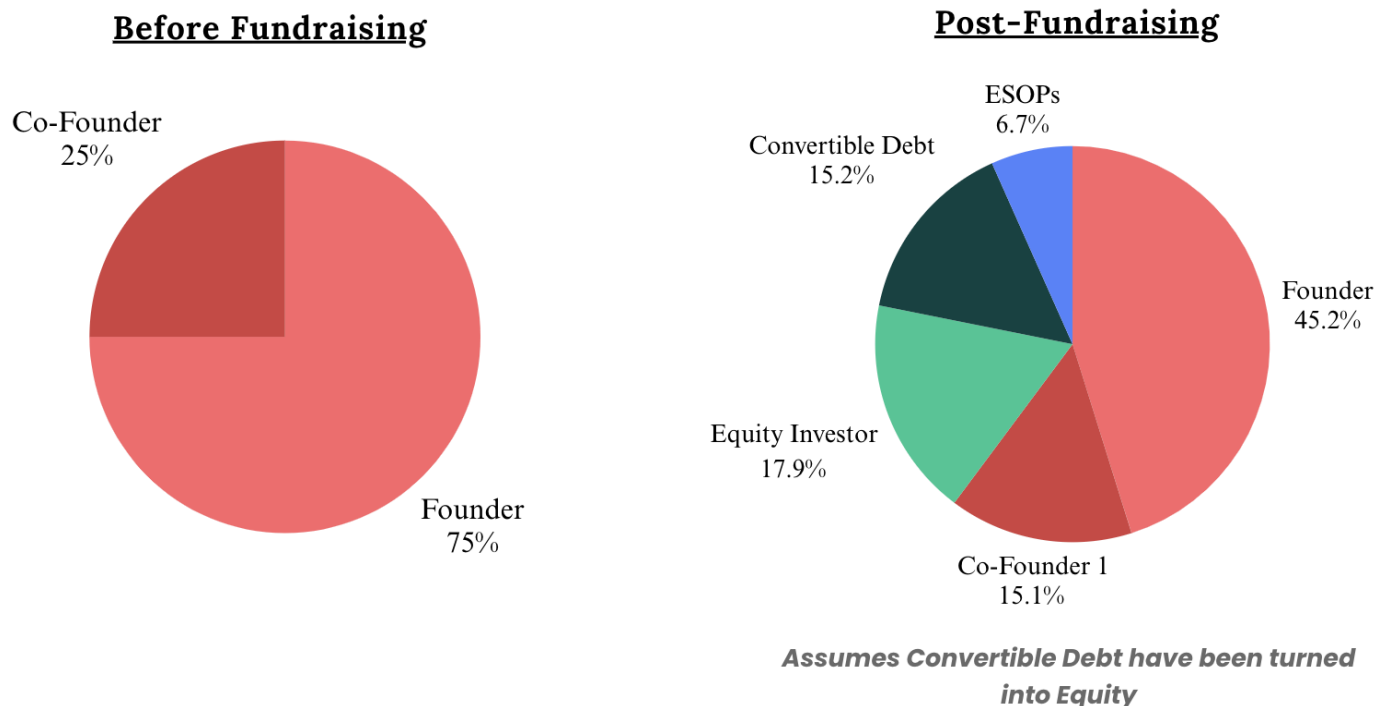


Figure 27: Capital structure before and after fundraising, showing shifts in ownership distribution among stakeholders.

As a founder, I embrace the "rich" approach, prioritizing growth and scaling over retaining majority control (Wasserman et al., 2012). While the pre-fundraising structure allowed me to hold 75% ownership, the post-fundraising distribution reduces my stake to 45.2%. This shift is intentional and aligns with my philosophy of bringing in strategic investors and resources to accelerate FortifAI's potential. By doing so, I ensure that the business is well-capitalized, with convertible debt, equity investors, and employee stock option plans (ESOPs) incentivizing key stakeholders. Ultimately, I believe scaling the business and maximizing its valuation delivers greater long-term value than maintaining a controlling position. This trade-off is my commitment to building a successful and scalable venture rather than clinging to ownership at the cost of limiting growth.

ESOPs

ESOPs now constitute 6.7% of the overall post-fundraising equity after accounting for dilution from investors. Rule 701 provides an ideal framework for offering this equity compensation efficiently, without the burdens of SEC registration, making it a perfect fit for an early-stage company like FortifAI (Shulga, 2015).

As mentioned in the Key Resources section, we identified that success hinges on recruiting AI/ML engineers and a technical co-founder with industry expertise. Equity compensation will align their interests directly with FortifAI's growth, ensuring commitment to long-term goals. Rule 701 allows us to allocate equity cost-effectively, enabling us to attract these critical hires while reserving cash for T&D and S&M expenses. Additionally, by staying within Rule 701's limits, such as not exceeding \$5 million in equity issuances within a 12-month period, we will offer competitive compensation packages that comply with regulatory standards. This approach reflects FortifAI's focus on leveraging talent as a core resource while positioning the company for sustainable, scalable growth.

Legal Structure for FortifAI

When selecting a legal structure for FortifAI, several options were evaluated, each with its benefits and limitations. Sole proprietorships and partnerships offer simplicity and low costs but lack the ability to attract institutional investors and expose founders to unlimited personal liability (Skripak et al., 2016). For a company aiming to scale, these structures are impractical as they cannot facilitate external funding or continuity.

LLCs provide limited liability and tax flexibility, but their pass-through tax structure deters VC and angel investors due to complications with tax liabilities and restrictions on tax-exempt entities (Brock, 2021). Additionally, LLCs complicate offering equity-based compensation like ESOPs, which are vital for retaining FortifAI's technical talent and aligning their incentives with the company's growth (Shulga, 2023). Conversion from an LLC to a corporation later is costly and time-consuming, adding unnecessary complexity.

S-Corporations avoid double taxation but are heavily restricted—limited to 100 shareholders and requiring all to be U.S. citizens or residents, excluding VC funds from investing. Their pass-through taxation also creates burdens for investors, who must pay taxes on allocated profits regardless of distributions, making S-Corps ill-suited for companies like FortifAI seeking significant external investment (Hutchison, 2023).

A C-Corporation, while subject to double taxation, offers the most robust structure for FortifAI's needs. It provides limited liability, facilitates institutional funding through well-understood stock structures, and enables the use of ESOPs to attract top talent. Double taxation is less concerning in early stages when profits are reinvested rather than distributed as dividends (SVB, 2023). For an emerging growth tech company requiring scalable funding and operational flexibility, a C-Corporation is the best choice, balancing investor expectations and growth potential.

Type of Investor

For FortifAI, the type of investor I am seeking is clear - a venture capital firm. The primary reason is the funding amount. With a total capital requirement of \$3.8 million, broken down into \$1.875 million in equity funding, \$500,000 in venture debt, and \$1.426 million in convertible debt, this ask far exceeds what angel investors typically provide. Angel investments generally range between \$25,000 and \$1 million per deal, which aligns more with companies in earlier validation stages, not one like FortifAI, which has a clear business model and growth trajectory (Pitchdrive, 2023).

Venture capitalists (VCs) specialize in funding at this scale, particularly for technology startups. The median deal size for early-stage VC investments in 2023 was \$5 million, making them the ideal fit for FortifAI's funding needs (Statista, 2023). Additionally, VCs bring more than just capital. They provide invaluable operational guidance, a network of potential clients or partners, and experience in scaling tech companies. Firms like Initialized Capital, Zetta Venture Partners, and Wing Venture Capital are prime examples—they focus on AI-driven startups and seed-stage investments, aligning perfectly with FortifAI's mission and stage.

Another critical factor is the flexibility introduced by the funding structure, particularly through venture debt and convertible debt. The \$500,000 in venture debt, carrying an 8% interest rate, minimizes early-stage dilution while providing much-needed capital to fund operations. Meanwhile, the inclusion of \$1.426 million in convertible debt, with a 6% interest rate and a 10% discount upon conversion, bridges the gap between equity and debt. This approach allows early investors to convert their debt into equity during subsequent funding rounds, offering them upside potential while delaying equity dilution. VCs are familiar with these structures and understand their strategic value, making them well-suited to partner in this hybrid funding strategy.

Angel investors, while appealing for their hands-off approach, don't align with the scale of FortifAI's ambitions. Their smaller investments and focus on earlier-stage businesses make them less equipped to meet FortifAI's funding needs or support its strategic growth. In contrast, VCs provide not only the necessary capital but also the expertise and network to accelerate FortifAI's growth in a competitive market.

Term Sheet

Equity Funding

- Investment Amount: \$1.875 million
- Ownership: 20% equity
- Valuation: \$7.5 million pre-money, \$9.375 million post-money

Key Terms:

- Voting Rights: Proportional to equity, with major strategic decisions (e.g., M&A, additional fundraising beyond 10% dilution) requiring investor approval.
 - Board Seat: Investors nominate one board member, ensuring strategic guidance, while founders retain the majority.
 - Liquidation Preference: 1x non-participating liquidation preference, ensuring capital recovery without excessive payout demands.
 - Anti-Dilution: Weighted-average protection to prevent excessive dilution while remaining founder-friendly.
 - Dividends: No dividends for the first five years; profits will be reinvested into scaling.
-

Convertible Debt

- Investment Amount: \$1.426 million
- Interest Rate: 6% annual, simple interest
- Maturity: 3 years
- Conversion Discount: 10% on next qualified round
- Valuation Cap: \$10 million

Key Terms:

- Automatic Conversion: Converts to equity during a \$5 million+ funding round at a valuation no higher than \$10 million.
 - Optional Conversion: Investors may convert before maturity or in an exit event.
 - Ranking: Unsecured debt but ranks senior to equity in liquidation.
 - No Prepayment Penalty: FortifAI can repay early, offering financial flexibility.
-

Venture Debt

- Investment Amount: \$500,000
- Interest Rate: 8% annual, capitalized until positive free cash flow (FCF)
- Repayment Period: 5 years
- Warrants: 2% equity coverage based on post-money valuation

Key Terms:

- Use of Proceeds: Allocated for operational expenses, ensuring smooth scaling without equity dilution.
 - Flexibility: Unsecured debt keeps FortifAI agile while preserving capital for growth.
-

ESOP

- Allocation: 6.7% post-fundraising equity
 - Purpose: Attract top AI/ML talent and align incentives with FortifAI's growth.
 - Structure: Rule 701-compliant, staying within the \$5 million issuance cap to avoid costly SEC registration.
-

Founder Commitments

- 4-year vesting with a 1-year cliff to align founder contributions with long-term growth.
- Founders agree not to engage in competing ventures during their tenure.



“Every Attack comes down to people in some way.”

John Noble, Non-executive director at NHS Digital, at HuFiCon23

“Unfortunately, many organizations still don't take addressing the human element seriously, and instead feel that they can rely on technical controls.”

Erich Kron, security awareness advocate at KnowBe4.

"Given that it is impossible to prevent all attacks automatically, we need to make humans part of our firewall. Awareness training enables the mitigation of human risk when sitting in front of a computer."

Jamal Bihya, an analyst at technology research firm GigaOM in San Francisco.

“Security awareness and training is the most important thing that a CISO is responsible for.”

Kathy Hughes, CISO at Northwell Health, New York's largest healthcare system with 83,000 employees across nearly 200 sites.

Spreadsheet

 FortifAI Valuation

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Appendix

Appendix B: Porter's Five Forces Analysis: Security Awareness Training Segment

Threat of New Entrants – Score: 3/5

The barrier to entry in the security awareness training market is relatively low. Developing simple e-learning modules or simulations requires minimal upfront investment, allowing new players to enter. However, established players like KnowBe4 and Hoxhunt have strong brand recognition, comprehensive training libraries, and established client bases, making it challenging for new entrants to compete. Additionally, scalability and the need for cutting-edge AI-driven content pose significant hurdles for smaller entrants trying to differentiate themselves.

Bargaining Power of Buyers – Score: 4/5

Buyers, particularly large enterprises, wield significant bargaining power due to the availability of alternatives and low switching costs. Companies can choose between specialized training providers, broader cybersecurity vendors offering training as an add-on, or generic platforms like Coursera. SMBs, while underserved, may still be price-sensitive, requiring solutions that demonstrate clear ROI. This power pushes providers to deliver high-quality, engaging, and cost-effective training programs to retain clients.

Bargaining Power of Suppliers – Score: 2/5

The main inputs for security awareness training platforms are content creators, designers, and infrastructure providers like cloud hosting services (e.g., AWS, Azure). Since the supplier base is diverse and not unique, their bargaining power remains low. Companies also develop content in-house, further reducing dependency on third-party suppliers.

Threat of Substitutes – Score: 4/5

The threat of substitutes is significant, as companies can opt for alternatives like internal training programs, generic e-learning platforms, or broader cybersecurity solutions that bundle awareness training. While these options may lack the specialized focus of dedicated providers, they can still be attractive due to cost or integration with existing systems. Additionally, generic modules may appear sufficient for companies prioritizing basic compliance rather than employee skill development.

Industry Rivalry – Score: 5/5

Competition in the security awareness training segment is intense. Market leaders like KnowBe4, Hoxhunt, and SoSafe dominate with their established market presence and robust customer satisfaction scores. Meanwhile, high performers and niche players focus on

innovation, trying to carve out space with unique offerings. The similarity of features, coupled with price competition and user dissatisfaction with customization (as seen in G2 reports), further intensifies rivalry.

AI Statement: No AI Tools were used in the paper.